Indian foreign policy faces a dual geostrategic challenge. At the global level, a more capable and assertive China has increased its power asymmetry with India. At least in the short term, this gap is further widening and incentivising India to balance more aggressively. At the regional level, however, India's new economic and military capabilities have further accentuated the gap with its smaller neighbours, who are increasingly reaching out to China and other partners to develop hedging policies.

To address these respective divergences, this chapter argued that India has given new centrality to a broad understanding of culture, or non-material resources, in its foreign policy. Beyond the mere development of hard economic and military capabilities, prevalent in traditional balancing strategies, New Delhi has focused on softer instruments to distinguish itself from China and, at the same time, seek to reassure its neighbours. This strategy is based on the idea of India as a hub for a culture of pluralism, offering a distinct model of development in four domains: religious, social, political, and economic.

The religious culture of pluralism portrays Buddhism and Sufism as an Indian legacy and example of tolerance amidst diversity. The social culture of yoga projects the ancestral practice as reflecting India's global commitment to pacifism and spiritual health. India has also portrayed its democratic system as a political culture of pluralism for other developing countries facing governance challenges. Finally, the government also promotes innovation as an Indian culture of pluralism, emphasising the country's distinct model for economic growth through private entrepreneurship. On all four of these fronts, the Indian government has accelerated efforts to underline India's religious, social, political, and economic distinctiveness in order to soft balance China at the global level and, at the same time, increase its attractiveness to its smaller neighbouring countries.